Greenleaf Home Essentials

Annual Business Report, Financial Year 2025-26 (April 2025 to March 2026)

PRACTICE DATA - Greenleaf Home Essentials is a fictional company. All figures are invented for classroom use.

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1. Company Overview

Greenleaf Home Essentials is an online retailer of kitchenware, home decor, storage products and bedding. It was founded in 2018 and sells through its own website and mobile app to customers across India. Products are sourced from about 60 suppliers, stored in two warehouses, and delivered by courier partners. All amounts in this report are in INR lakh (1 lakh = 100,000) unless stated otherwise. The financial year runs from April to March.

The company's stated mission is to make everyday home living simple and good-looking at fair prices.

2. Chairman's Message

Financial year 2025-26 was a challenging year. Revenue fell short of our target and operating costs rose faster than sales. Management believes the shortfall was mainly caused by weak consumer demand and tougher market conditions across the home goods sector. Rising logistics costs also put pressure on margins.

We have increased our marketing investment to win back growth. Our product range remains strong, our brand is well regarded, and we remain confident about the year ahead. We thank our employees, suppliers and customers for their support.

3. Financial Summary

Item (INR lakh)	FY 2024-25	FY 2025-26	Change
Revenue	1,250	1,180	-5.6%
Cost of goods sold	750	735	-2.0%
Gross profit (revenue less cost of goods sold)	500	445	-11.0%
Marketing	120	165	+37.5%
Logistics and delivery	95	130	+36.8%
Salaries	110	118	+7.3%
Other expenses	45	52	+15.6%

Item (INR lakh)	FY 2024-25	FY 2025-26	Change
Total expenses (including cost of goods sold)	1,120	1,200	+7.1%
Operating profit / (loss)	130	(20)	-
Operating margin	10.4%	-1.7%	-

Operating profit is revenue minus total expenses. Figures in brackets are losses.

4. Key Ratios

Ratio	FY 2024-25	FY 2025-26
Gross margin (gross profit / revenue)	40.0%	37.7%
Marketing spend as % of revenue	9.6%	14.0%
Logistics cost as % of revenue	7.6%	11.0%
Salaries as % of revenue	8.8%	10.0%
Marketing cost per order (INR)	231	337
Logistics cost per order (INR)	183	265
Revenue per employee (INR lakh)	15.2	13.4

Cost per order is the annual cost divided by the number of orders in the year.

5. Sales Performance against Targets

The company set an annual revenue target of 1,400 lakh for FY 2025-26. Actual revenue of 1,180 lakh achieved 84.3% of that target, a shortfall of 220 lakh. Quarterly revenue declined steadily through the year while the target stayed flat at 350 lakh per quarter.

Quarter	Target	Actual FY 2025-26	Actual FY 2024-25	vs target	vs last year
Q1 (Apr-Jun)	350	320	300	-8.6%	+6.7%
Q2 (Jul-Sep)	350	305	310	-12.9%	-1.6%
Q3 (Oct-Dec)	350	290	320	-17.1%	-9.4%
Q4 (Jan-Mar)	350	265	320	-24.3%	-17.2%
Full year	**1,400**	**1,180**	**1,250**	**-15.7%**	**-5.6%**

Q1 of FY 2025-26 was ahead of the previous year. From Q2 onward every quarter was below the same quarter of the previous year, and the gap widened each quarter.

6. Monthly Revenue

Month	FY 2025-26	FY 2024-25	Note
April	104	98	
May	108	100	
June	108	102	
July	105	104	New courier partner from this month
August	102	103	
September	98	103	
October	100	112	Diwali month
November	98	106	
December	92	102	Year-end sale
January	90	104	
February	88	108	
March	87	108	
Total	**1,180**	**1,250**	

Diwali-month revenue (October) was 100 lakh, below the 112 lakh recorded in October of the previous year.

7. Revenue by Product Category

Category (INR lakh)	FY 2024-25	FY 2025-26	Change	FY 2025-26 target	Target achieved
Kitchenware	500	520	+4.0%	560	92.9%
Home decor	330	310	-6.1%	360	86.1%
Storage products	280	240	-14.3%	300	80.0%
Bedding	140	110	-21.4%	180	61.1%
Total	**1,250**	**1,180**	**-5.6%**	**1,400**	**84.3%**

Larger, heavier or breakable items such as storage units and bedding saw the sharpest declines. Kitchenware was the only growing category. Share of FY 2025-26 revenue: kitchenware 44.1%, home decor 26.3%, storage 20.3%, bedding 9.3%.

8. Sales by Channel

Channel (INR lakh)	FY 2024-25	FY 2025-26	Change
Website	760	690	-9.2%
Mobile app	490	490	0.0%
Total	**1,250**	**1,180**	**-5.6%**

The mobile app held steady while the website declined. The company has not analysed why the two channels differ.

9. Top Ten Products by Revenue, FY 2025-26

Rank	Product	Category	Revenue (INR lakh)	Change vs FY 2024-25
1	Non-stick cookware set (5 pieces)	Kitchenware	96	+9%
2	Glass storage jar set (6 pieces)	Storage	74	-12%
3	Stainless steel lunch box set	Kitchenware	68	+11%
4	Cotton bedsheet set (double)	Bedding	62	-20%
5	Decorative wall clock	Home decor	58	-4%
6	Modular kitchen rack	Storage	55	-17%
7	Ceramic dinner set (24 pieces)	Kitchenware	52	+3%
8	Cushion cover pack (set of 5)	Home decor	47	-9%
9	Wardrobe organiser set	Storage	42	-19%
10	Quilted comforter	Bedding	38	-23%

Revenue figures are for each product alone. The ten products together account for 592 lakh, or 50.2% of total revenue.

10. Orders and Customers

Measure	FY 2024-25	FY 2025-26	Change
Total orders	52,000	49,000	-5.8%
Average order value (INR)	2,404	2,408	+0.2%
Active customers (bought at least once in the year)	34,000	31,500	-7.4%
Orders per active customer	1.53	1.56	+2.0%
Repeat-customer share of orders	38%	31%	-7 points
Average delivery time (days)	4.1	6.8	+2.7 days

Average order value was almost unchanged, so the revenue decline came from fewer orders, not smaller baskets. The company does not report the number of new customers acquired during the year.

11. Returns

Measure	FY 2024-25	FY 2025-26
Returned orders	3,224	4,802
Return rate (returned orders / total orders)	6.2%	9.8%
Estimated value of returned goods (INR lakh)	78	118

The report does not give reasons for returns.

12. Operations and Logistics

In July 2025 the company moved most deliveries to a new courier partner to reduce per-parcel charges. Logistics and delivery costs nevertheless rose from 95 lakh to 130 lakh during the year, partly because of re-deliveries and returned parcels. The operations team is reviewing the courier contract, which runs until June 2027.

Warehouse operations: the company runs two warehouses (Bhiwandi and Gurugram). Inventory held at the end of the year was higher than a year earlier because slower-selling storage and bedding items remained in stock.

13. People

Department (employees)	March 2025	March 2026
Operations and warehouse	30	34
Technology	14	14
Marketing	12	14
Customer support	10	10
Sales and partnerships	8	8
Finance and administration	8	8
Total	**82**	**88**

14. Selected Balance Sheet Items

Item (INR lakh, at 31 March)	2025	2026
Cash and bank balances	210	148
Inventory	260	315
Trade payables (owed to suppliers)	140	170
Bank loans	100	150

Cash fell by 62 lakh and bank loans rose by 50 lakh during the year. A full balance sheet and cash flow statement are not included in this summary report.

15. Risks Identified by Management

- Weak consumer demand in the home goods sector.
- Rising advertising costs on social media platforms.
- Increasing competition from larger online marketplaces.
- Exchange-rate movements affecting imported products.

16. Outlook for FY 2026-27

Management plans to focus on demand generation, with the marketing plan for FY 2026-27 targeting revenue of 1,350 lakh. A detailed marketing plan has been prepared separately. No regional or city-level sales data was compiled for this report, and no customer survey results are included in it.